CASCADIA ANALYTICS

INVESTMENT SCORECARD

INTC

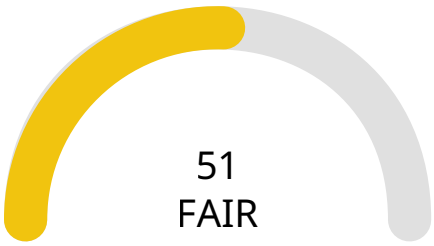
Intel Corporation (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$86.50 [Mkt 23-Oct-26]

Market Cap: $448.1B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 55

An integrated device manufacturer with massive scale and gross margin recovering from 27.5% to 40.4% in a year. But the foundry still loses $2B+ a quarter, free cash flow was -$4.9B in FY25, and the dividend is suspended. A turnaround in progress, not a quality compounder yet.

2. Recent Trend — 78

Revenue growth re-accelerated from 7% to 25.4% YoY, EPS beats are stacking (Q2 non-GAAP $0.42 vs $0.21 est), and the stock is up 200%+ in 2026. But it sits 20% off its high and fell 5.8% on Oct 16 when TSMC courted Intel's packaging customers.

3. Forward Growth — 55

Forward growth rests on foundry wins that are not signed yet: 14A customer decisions are due now, the EMIB-T packaging book is reported but unconfirmed, and consensus sees FY26 EPS of just $1.04. Genuine optionality, but speculative.

4. Valuation — 22

At $86.50 the market prices a 26.4% revenue CAGR, which our reverse DCF labels euphoric. DCF base $43.61 means 50% downside on fundamentals; NTM P/E is 42.7x. You are paying for the foundry win twice over.

5. Catalysts & Risk — 52

Q3 earnings on Oct 29 and 14A customer decisions are near-term and two-sided.

Nvidia's $5B stake and the US government backstop limit downside tails, but the Kiryat Gat explosion, TSMC's packaging poaching, and $50.5B of debt keep the risk bar high.

Investment Thesis

- **Turnaround Inflection:** Q2 revenue up 25.4%, the fastest growth in more than 15 years; gross margin recovered to 40.4% from 27.5% a year earlier [Q2'26 ER].
- **Priced for Perfection:** At $86.50 the market implies a 26.4% revenue CAGR, euphoric per our reverse DCF; DCF base $43.61 means 50% downside on fundamentals [DCF 17-Oct-26].
- **Foundry Optionality:** The stock is a call option on external foundry wins. The EMIB-T packaging order book is the near-term proof point [Press Oct-26].

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$16.13B [Q2'26 ER]	+25.4% [Q2'26 ER]	Up
Gross Margin (Q2 2026)	40.4% GAAP [Q2'26 ER]	+12.9 pts [Q2'26 ER]	Up
Data Center & AI Revenue	$6.26B [Q2'26 ER]	+59% [Q2'26 ER]	Up
Intel Foundry Revenue	~$5.8B [Q2'26 ER]	+31% [Q2'26 ER]	Up
Foundry Op Loss	-$2.1B [Q2'26 ER]	narrowing [Q2'26 ER]	Improving
Non-GAAP EPS (Q2 2026)	$0.42 [Q2'26 ER]	beat $0.21 est [Cons]	Up
Total Debt	$50.5B [10-Q Q2'26]	D/E 0.49 [10-Q Q2'26]	Stable

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	TTM
Revenue	$63.1B [10-K FY22]	$54.2B [10-K FY23]	$53.1B [10-K FY24]	$52.9B [10-K FY25]	$57.0B [Yahoo TTM]
Net Margin	12.7% [10-K FY22]	3.1% [10-K FY23]	-35.3% [10-K FY24]	-0.5% [10-K FY25]	n/a [n/a]
FCF Margin	n/a [n/a]	n/a [n/a]	-29.5% [10-K FY24]	-9.4% [10-K FY25]	n/a [n/a]

Valuation

Absolute (3/10)

NTM P/E 42.7x [Val 17-Oct-26]
EV/Revenue (TTM) 9.3x [Val 17-Oct-26]
DCF Base $43.61 [DCF 17-Oct-26]

Market implies a 26.4% revenue CAGR. With the base case 50% below the price, this is a narrative price, not a fundamentals price.

Versus Peers (4/8)

No sell-side IDM peer table in coverage [n/a]

Consensus target $109.06 (Hold) offers +19%, far below what the price action implies [Cons Oct-26].

Versus History (3/7)

Stock up 200%+ YTD, 20% off the $142 52-week high [Mkt 17-Oct-26]

Trading near the top of its historical range on turnaround faith, not realized returns.

Catalyst Timeline

29-Oct-2026 [Cons]
Q3 2026 Earnings (Two-Sided): guidance is $15.8-16.8B revenue and $0.38 non-GAAP EPS. A test of the re-acceleration thesis.

H2 2026 [Mgmt comm]
14A Customer Decisions (Positive): CFO claims conviction on landing external 14A customers, but

Top Risk Factors (Item 1A)

1. Foundry Execution: External foundry revenue was only $293M of ~$5.8B in Q2; Intel has warned it may exit manufacturing if it cannot attract outside customers. [Press Oct-26]

2. Competitive Pressure: TSMC's 2nm process, AMD's EPYC outpacing Xeon 6, and Nvidia's near-monopoly in AI accelerators leave Gaudi with a structural ecosystem disadvantage. [Press Oct-26]

> none are named yet. Firm decisions are expected now.

> **2027-2028** [Press Oct-26]
> EMIB-T Packaging Ramps (Two-Sided): reported Google/Amazon/Meta orders worth several billion dollars per customer; TSMC now publicly offers fallback capacity.

What Would Change Our Score

A named external 14A customer, or a Q3 beat that converts reported packaging orders into booked revenue, would lift Forward Growth and Catalysts. Conversely, continued foundry losses with no external wins would cut Trend and Growth further, and the valuation pillar has little floor while the price sits 2.7x our base case.

3. Capital Intensity: FY25 free cash flow was -$4.9B with $50.5B of debt and a suspended dividend; the heavy capex program must be funded while the foundry loses money. [10-K FY25]

Forward Growth Drivers

- Data Center & AI revenue up 59% on Xeon 6 demand; Nvidia is integrating Xeon 6 into DGX Rubin NVL8 after its $5B equity stake [Press Oct-26]
- 18A yields beat target by ~25%; custom ASIC arm at ~$2B run-rate revenue targeting $4B [Mgmt guid]
- US government equity stake plus $11.1B in CHIPS Act funding de-risks the fab build-out [Press Oct-26]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used operating margin trajectory qualitatively.
- Client segment splits (Data Center & AI, Foundry) from press coverage of the Q2'26 earnings call; segment 10-Q detail not pulled.
- No semiconductor peer multiple table in local coverage; valuation uses consensus target instead.
- TTM revenue computed from quarterly data; TTM net margin omitted because GAAP is distorted by the one-time CHIPS escrow charge.

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